THIS WEEK'S FILE · FOUNDER FILE #006

THE $401 MILLION COMPANY WITH TWO EMPLOYEES, AND WHAT THE HEADLINE LEFT OUT

Matthew Gallagher built Medvi in two months with $20,000 and a stack of AI tools, and the New York Times reviewed financials showing $401 million of sales in 2025. It is the strongest-verified revenue on our list, and the one with the biggest warning attached.

THE FILE

FOUNDER	Matthew Gallagher, Founder and CEO
COMPANY	Medvi
FOUNDED	2024
HQ	Los Angeles
SECTOR	Telehealth (GLP-1 weight-loss medication)
STAGE	Private, bootstrapped
FUNDING	None reported
MODEL	Sells compounded GLP-1 prescriptions direct to patients; clinical work outsourced

Hello again, and welcome to File #006. Thank you for staying with us.

On 2 April 2026 the New York Times published a story with a headline that every founder in the world read twice: a $1.8 billion company with two employees, made possible by AI. Within a week, it was also one of the most argued-over stories of the year.

This is the hardest file we have written so far, so we'll say plainly where we stand. The revenue numbers here are the best-verified on our whole list, because the Times says it was given access to the company's financials. The marketing story is a different matter, and we are going to give it as much room as the success. If you read only one thing in this file, read the section on what happened afterwards. (All figures are in US dollars.)

THE SHORT VERSION

- **Who:** Matthew Gallagher, 41, of Los Angeles, founder of Medvi, and his brother Elliot, the only other full-time employee.
- **What:** Medvi sells compounded GLP-1 weight-loss medication online. It owns the website, advertising, checkout and customer service. The doctors, pharmacies, shipping and compliance are run by partner companies.
- **Why it matters:** it is the nearest public case of a tiny team reaching hundreds of millions in revenue by renting the regulated part of a business and using AI for almost everything else.
- **The number to remember:** $401 million, the company's 2025 sales as reviewed by the New York Times. And the second number that goes with it: the FDA warning letter, six weeks before the story ran.

THE FOUNDER

Gallagher's story is not a typical Silicon Valley one. According to the Times, he moved around a lot as a child, sometimes living in motels and cars, before settling in Cincinnati at 12. A relative gave him a laptop and he taught himself to code. As a teenager he built websites for local businesses and sold things on eBay, and at 18 he sold a web-hosting business for $6,000. He attended two universities without graduating, moved to Los Angeles in 2010 to try acting, and came back to code.

In 2016 he started Watch Gang, a subscription company selling wristwatches. It hired about 60 people and, the Times reports, never turned a profit. The detail matters, because he told the Times that for the first time he isn't in survival mode. His line on Medvi was that it is "not an AI company", but that he did it with AI.

THE BUSINESS, IN PLAIN LANGUAGE

Medvi is not a clinic. It's a front door.

A customer visits Medvi's site, answers some questions, and pays. The prescription, the pharmacy that makes and ships the medication, and the legal and clinical compliance sit with partners: CareValidate, which sells what the Times calls a "telehealth in a box", and OpenLoop Health, which runs a similar platform covering doctors, pharmacies, shipping and compliance. Medvi's job is everything before and around that: the site, the advertising, the checkout and the customer relationship.

The medication is compounded semaglutide and tirzepatide, the active ingredients in well-known weight-loss drugs, made by compounding pharmacies, not by the drug companies. That is legal in some circumstances and a regulatory grey area in others, and the rules have been moving. The first month's supply started at about $179.

HOW HE USED AI

He started in September 2024, inspired by ChatGPT's release two years earlier and after meeting a co-founder of CareValidate. It took about two months and $20,000, which covered software and the first month of marketing. Here is who did what:

JOB	TOOL
Building the website	ChatGPT, Claude and Grok
Connecting systems and analysing performance	Custom AI agents, plus AI analysis of how the business was doing
Customer communication	ElevenLabs and other voice tools, including an AI voice clone for scheduling
Images and video for the site and ads	Midjourney and Runway

Behind that: Elliot, who joined in April and handles communications that need a person; two contract engineers; and a law firm, an accounting firm and media-buying agencies. The Times is clear that this is not technically a one-person company.

THE NUMBERS

WHAT	FIGURE	WHO SAYS
2025 sales	$401 million	New York Times, which says it reviewed the financials
Customers at end of 2025	About 250,000	Same
2025 net profit	16.2%, about $65 million	Same
Comparison	Hims & Hers: about $2.4 billion revenue, 2,442 employees, 5.5% net margin	As cited by the Times
2026 sales	On track for about $1.8 billion	Gallagher: a projection
Profit so far in 2026	$70 million to $80 million	Gallagher
New men's health line	50,000 customers in its first month	Gallagher

The Times also notes that Medvi has raised no outside funding and has no official valuation, so any "$1.8 billion company" language means sales, not what the business is worth. Be careful when you see it repeated as a valuation.

WHAT THE TIMES REPORTED GOING WRONG

It is worth noticing that the story itself was not entirely flattering. The same article reported:

- Early versions of the site used smiling models that looked AI-generated, and before-and-after weight-loss photos with faces swapped in from elsewhere online. Some of the ads were described as “AI slop”.
- A strip of media logos on the site implied features in publications such as Bloomberg and the Times, where Medvi had only advertised.
- The chatbot sometimes invented drug prices. Gallagher honoured them. It also falsely claimed Medvi sold hair-loss drugs.
- Customers who asked for a human were transferred to Gallagher’s own mobile phone, which led to more than 1,000 calls.

In a photo caption, he is quoted saying he would like to hire people because he’s lonely.

WHAT HAPPENED NEXT

The Times piece went viral on 2 April. Over the following days, critics and other reporters pointed out things the profile didn’t dwell on. This is what has been reported, who reported it, and what Medvi says.

The FDA warning letter. On 20 February 2026 the FDA sent a warning letter addressed to MEDVi, LLC. As described by Drug Discovery & Development, the FDA said the compounded semaglutide and tirzepatide were misbranded: that the site falsely suggested Medvi was the compounder, and that claims such as “same active ingredient as” well-known brand-name drugs implied FDA approval or evaluation. A warning letter is a formal warning, not a finding of guilt or a ban. Medvi said on 8 April that the website cited belonged to an affiliate marketing agency and that it had “never received a letter from the FDA”. The publication that reported this disputed the claim, citing the letter’s addressee, email address and Medvi-branded content. We have not seen the letter itself.

AI-generated doctors in ads. Business Insider found apparent AI-generated doctor profiles in Meta (Facebook and Instagram) ads, many tied to affiliates. Gallagher told the outlet that “maybe 30 percent” of the advertising ran through affiliates, said Medvi has a policy of disclosing any actor or AI portrayal of a doctor or not using them, and blamed what he called “poorly policed” affiliates. Active Medvi-related ads reportedly fell from over 5,000 to about 2,800 after the reporting. In its statement, Medvi said it had only recently become aware of ads featuring potentially AI-generated medical practitioners.

Doctor credentials. Drug Discovery & Development reported that Florida health department profiles for two named doctors showed no recognised specialty board certifications. Both were removed from Medvi’s website on 10 April, after the publication asked for comment.

Complaints and lawsuits. The National Consumers League asked the Federal Trade Commission in September 2025 to investigate Medvi and five other telehealth companies over claims such as “doctor-approved”. Separately, reports say Medvi has been sued several times over unsolicited texts and emails, which it denies. We found no regulator action

against Medvi beyond the FDA letter, but we found little coverage from the last two months, so check before relying on that.

The wider picture. The FDA has sent warning letters to dozens of telehealth companies over how they market compounded GLP-1 drugs. Medvi was not singled out.

A fair summary: the revenue is credibly documented, the clean-compliance claim is not, and the company has publicly acknowledged at least part of the marketing problem.

WHAT A READER CAN COPY, AND WHAT THEY SHOULD NOT

The structure, which is legitimate:

- **Rent the regulated layer.** Medvi doesn't employ doctors or run a pharmacy. It pays partners to carry the clinical and legal liability, and keeps the customer relationship. This is the central idea, and it applies far beyond health.
- **Use AI for the glue.** Thin internal agents connecting the site, the payments and the analytics, so two people don't need a department.
- **Stand up fast, with real numbers.** Two months and $20,000 to a live product with paying customers.

The marketing, which you should not copy:

- Fake or AI-generated before-and-after photos, doctor personas, or media logos you haven't earned. They aren't a growth hack. In health they're the kind of thing regulators, platforms and the press look for, and they undermine the thing a medical brand sells, which is trust.
- Outsourcing your advertising to affiliates and then pointing at them when something goes wrong. Regulators generally hold the brand responsible.

Try this

Before you rent anyone's regulated layer, ask three questions in writing: Who is legally responsible for the claim on my website? Who approves my ads before they run? What happens to my business if my partner is investigated?

Put a human on every promise. Medvi's chatbot invented prices and the customer-service line rang through to the founder's phone. Decide in advance what your AI is never allowed to say (prices, medical claims, refunds), and where a person takes over.

Audit your own ads quarterly. Search for every ad, affiliate page and review carrying your name. If you can't find them, you can't control them.

WHAT COULD GO WRONG

Regulation. Compounded GLP-1s are a moving target. The FDA's warning letter, its wider crackdown and any change in who may compound these drugs could hit the entire business model at once.

Platform and partner dependence. Medvi relies on two infrastructure partners for the clinical side and on advertising platforms for customers. Any of them can change terms, or be investigated, and Medvi has little control.

Reputation. The same coverage that made Medvi famous raised questions about its marketing and its doctors. For a business that sells medication to individuals, trust is the product.

One set of numbers. The 2025 figures are reviewed by the Times, and that is the strongest third-party verification on this list. The 2026 figures are Gallagher's projections.

Not a one-person company. The headline said two employees. The reality includes contractors, agencies and partners, which is normal and sensible, but it is not what "two employees" suggests.

WHAT TO WATCH

1. **Further regulatory action,** from the FDA, the FTC or state authorities, and any change to the rules on compounding.
2. **Whether the 2026 projection holds,** and whether the men's health line really overtakes the GLP-1 business.
3. **How Medvi polices advertising** now that it has acknowledged the problem.
4. **The cost of compliance.** Hims & Hers reports a 5.5 percent margin with thousands of staff; Medvi reports 16.2 percent with two. How much of that gap is efficiency and how much is the compliance work it doesn't do is the question to keep asking.

He taught himself to code on a laptop a relative gave him, tried acting, started a company that hired 60 people and never made a profit, and then built one of the most profitable small companies in America in two months. Both halves of that sentence are true, and so are both halves of this file.

That's File #006. Thank you for reading it. If it made you think of someone, forward it along, and if there's a founder you'd like to see opened next, tell us at info@aifounderfiles.com. File #007 lands next Sunday.

Where this came from: the Times profile (reprinted by GV Wire), Forbes, and the follow-up reporting listed below. Figures for 2025 were reviewed by the Times; 2026 figures are the founder's projections. Allegations are reported as allegations, with the company's response where we could find it. We have not seen the FDA letter itself and have not asked Medvi to comment. A note on disclosure: Anthropic makes Claude, one of the tools Gallagher says he used, and Claude helped research and draft this file. Spotted a mistake? Email info@aifounderfiles.com and we'll correct it.

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